Processor, Controller or Owner?

How a communications service provider sees its own role in retained communications data, how UK regulators see it, and the difficulties the gap produces

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October 2026

Contents

Contents 2

1. The operator's self-view: 'we are the pipe' 4

2. Controller, processor and the retained store 5

2.1 The definitions, briefly 5

2.2 Why a retention notice does not make the operator a processor 5

2.3 The compelled-purpose controller: an awkward category 5

3. The regulators, and what each one sees 7

4. Where the views collide 8

4.1 Minimisation versus retention 8

4.2 Purpose limitation and the dual-use temptation 8

4.3 Accountability for quality and errors 8

4.4 Subject rights and the exemption problem 8

4.5 Security standard: whose standard? 9

4.6 Breach notification: which door? 9

4.7 Cost, value and the business case 9

4.8 Change: whose change is it? 9

5. Reconciling the positions 10

6. Talking points 11

Scope and caveat

This paper is about a disagreement that rarely gets written down but shapes almost every CDA programme inside an operator: the operator's instinct that it is a pipe — a neutral carrier, a processor of other people's communications — set against a regulatory landscape that treats it as the accountable holder of that data. The paper describes the operator's self-view, the view each UK regulator takes, where the two collide, and what a design authority can do about it.

It uses the language of UK data protection law (controller, processor) and of the Investigatory Powers Act 2016 (telecommunications operator, retention notice). It is engineering and governance guidance written as at October 2026, not legal advice; the controller/processor analysis in particular is one on which an operator should hold a recorded legal opinion, and nothing here substitutes for it.

1. The operator's self-view: 'we are the pipe'

Ask an operator's network and legal teams what their relationship to a customer's communications is, and the instinctive answer is that they carry it. The call is the customer's; the message is the customer's; the operator provides transport and does not look inside. That instinct has respectable roots:

- **Mere conduit.** Intermediary liability regimes (the E-Commerce Regulations 2002, carried forward in spirit into the Online Safety Act's treatment of access services) shield a provider that merely transmits from liability for what is transmitted, on condition that it does not initiate, select or modify it.
- **Confidentiality of communications.** The Privacy and Electronic Communications Regulations (PECR) and the interception offence in the IPA itself both forbid the operator from looking at content without lawful authority. The operator is required to be blind.
- **Traffic data is a by-product.** PECR regulations 7 and 8 limit what the operator may do with traffic and location data: process it for billing and interconnect, anonymise it, or get consent for anything else, and erase it when no longer needed. The data exists to run the service, not as an asset.
- **Commercial posture.** Operators do not want to be seen — by customers, by regulators or by the press — as holding dossiers on their subscribers. 'We only keep what we need to run the network' is both a legal argument and a brand position.

From that starting point, a retention notice looks like an imposition from outside: the state tells the operator to keep data the operator would otherwise delete, for a purpose that is not the operator's, to be handed to bodies the operator does not choose. The natural conclusion is: *we are holding this on the Home Office's behalf. We are, in substance, their processor.* That conclusion is understandable, widely held inside operators, and wrong in law — and the gap between the instinct and the legal position is where most of the difficulty lives.

> **EARLY SIGNAL**
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> Listen for the phrase 'we are just the custodian' or 'this is the Home Office's data' in a programme. It signals that the organisation has not yet accepted controller accountability for the retained store, and the design will show it: thin governance, reluctance to spend on quality, and a view that errors are the requesting authority's problem.

2. Controller, processor and the retained store

2.1 The definitions, briefly

Term	UK GDPR meaning	Practical test
Controller	Determines the purposes and means of processing, alone or jointly	Who decides why this data exists and how it is handled?
Processor	Processes personal data on behalf of a controller, under the controller's documented instructions	Is someone else telling you what to do with it, and could they take it elsewhere?
Joint controllers	Two or more controllers jointly determine purposes and means	Do two organisations decide together?
'Owner'	Not a data protection concept at all	Ownership language is commercial and contractual; it has no standing in the regulatory analysis

Two things follow immediately. First, 'data owner' is not a category that regulators recognise; an operator that frames the question as *are we the owner or the processor?* is asking a question with no legal answer. Second, controllership is a matter of fact, not of label: a contract or a notice cannot make an organisation a processor if, in practice, it determines purposes and means.

2.2 Why a retention notice does not make the operator a processor

The argument that the operator is a processor for the Home Office fails on the definition. A processor acts on a controller's instructions and the controller could, in principle, move the processing elsewhere. Under a retention notice:

- The operator generates the data in the first place, in the course of providing its own service to its own customers, under its own means.
- The notice compels the operator to *retain*; it does not make the Secretary of State the determiner of means. The operator chooses the architecture, the vendor, the security model, the correlation rules and the deletion mechanism — which is precisely 'determining the means'.
- The lawful basis the operator relies on for retention is compliance with a legal obligation (Article 6(1)(c)). That is a controller's basis; a processor does not need a lawful basis of its own because it processes on the controller's.
- The Home Office does not hold or access the retained store. It cannot be the controller of data it has never seen and does not direct the handling of.
- The acquiring authority becomes a controller of the data it receives — under the law-enforcement regime in Part 3 of the Data Protection Act 2018 for police and similar bodies — *from the moment of disclosure*. Before disclosure, there is only one controller: the operator.

The honest position is therefore: **the operator is the controller of retained communications data**, for a purpose it did not choose, under a basis (legal obligation) that constrains what it may do with it, with a disclosure duty that transfers a copy to a second, separate controller when lawfully required. The operator is not a processor and not a joint controller with the state. It is a controller with its hands tied.

2.3 The compelled-purpose controller: an awkward category

This is a genuinely unusual position and it explains the operator's discomfort. A normal controller determines its purposes. The retention-notice controller has one purpose imposed on it by statute and is forbidden from using the data for anything else — the IPA restricts retained data to disclosure under lawful authority and

requires destruction at the end of the period. So the operator carries all of the accountability of a controller (security, integrity, breach reporting, subject rights subject to exemptions, documentation, DPIA) and almost none of the freedom. It bears the cost (partially offset by cost-recovery contributions under the Act), the risk and the liability, and gets no business value in return.

Normal controller	Processor	Retention-notice controller
Chooses purpose	No purpose of its own	Purpose imposed by statute
Chooses means	Means per instruction	Chooses means, within notice
Full accountability	Limited accountability	Full accountability
Can use the data	Cannot use the data	Cannot use the data
Bears cost, gets value	Paid for the service	Bears cost, partial recovery

GOVERNANCE NOTE

The design authority should obtain and record a legal opinion on controllership of the retained store before the architecture is fixed. Almost every subsequent decision — DPIA ownership, breach notification route, subject-access handling, vendor contracts as processor agreements, security standard — depends on it, and it is far cheaper to settle once than to relitigate in every workshop.

3. The regulators, and what each one sees

An operator holding retained communications data is answerable to at least five bodies, each with a different frame. None of them uses the word 'owner', and only one uses the word 'processor' — and not in the way the operator would like.

Body	Instrument	What it sees the operator as	What it wants from the design
Home Office / Secretary of State	IPA Part 4 retention notices; Part 9 technical capability, national security and notification notices; Technical Advisory Board	A telecommunications operator with a statutory duty to retain and to maintain capability	The capability exists, meets the notice, is secure, and changes are notified
Investigatory Powers Commissioner's Office (IPCO) and the Judicial Commissioners	IPA Part 8 oversight; approval of notices; inspection of operators' obligations	The accountable holder whose records must reconstruct every disclosure	Reconstructability, error detection and reporting, evidence that scope and deletion obligations were met
Information Commissioner's Office (ICO)	UK GDPR and Data Protection Act 2018; PECR; the ICO's own role in auditing retained-data security under the IPA	A controller — of customer data, of traffic data, and of the retained store	Lawful basis, minimisation, security, DPIA, breach reporting, handling of subject rights with the correct exemptions, processor contracts with vendors
Ofcom	Communications Act 2003; Telecommunications (Security) Act 2021 and its Code of Practice; general conditions	A public electronic communications network provider with security duties over its network and the data it carries	Security of the estate that retained data sits in; supply-chain controls; incident reporting; the retained-data environment is part of the network for TSA purposes
Investigatory Powers Tribunal	IPA s.65 RIPA jurisdiction; complaints by individuals	The body whose error, if any, affected the complainant	Evidence that the operator's part of the chain behaved lawfully

The consequence is that the operator is simultaneously:

- a **telecommunications operator** under the IPA, with duties that run to the Secretary of State and are inspected by IPCO;
- a **controller** under UK GDPR, answerable to the ICO for the same data;
- a **network provider** under the Telecommunications (Security) Act, answerable to Ofcom for the security of the environment that data sits in;
- and, for the data it chooses to process commercially, a controller again under PECR's traffic-data rules.

The one place the word 'processor' does appear is in the operator's own supply chain: the vendors who build and support the retention, mediation and disclosure platforms are processors acting for the operator, and must be contracted as such — with the Article 28 terms, with security obligations, and with the production-access and portability conditions the CDA course describes. An operator that is unsure whether it is itself a controller will usually have also failed to put its vendors on proper processor terms.

4. Where the views collide

Each collision below is a place where the 'we are the pipe' instinct produces a design or governance decision that one of the regulators will later find wanting.

4.1 Minimisation versus retention

UK GDPR says keep only what is necessary; PECR says erase traffic data when no longer needed for billing; the retention notice says keep specified data for up to twelve months regardless. These are not actually contradictory — a legal obligation is a lawful basis and overrides the PECR erasure duty for the data the notice specifies — but the resolution has to be precise: *exactly* the data the notice names, for *exactly* the period, and nothing else carried along with it. An operator that treats the notice as general permission to keep everything for a year has moved from compliance into over-retention, which is a breach under both regimes.

> **DESIGN CONSEQUENCE**
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> Design consequence: the retained store is schema-bound to the notice, and anything the pipeline receives that the notice does not name is dropped, not stored 'just in case'. The negative-decision register is the evidence that this was done deliberately.

4.2 Purpose limitation and the dual-use temptation

Operators hold the same kinds of data — session records, location, identity bindings — for business purposes: fraud, network planning, customer service, analytics. The retained store is a well-organised, high-quality copy of exactly that data. The temptation to query it for business purposes is real, and it is unlawful: retained data may be used only for disclosure under lawful authority, and the ICO and IPCO would both regard business access to it as a serious failure. The 'pipe' self-image makes this worse, because an organisation that does not feel like a controller does not feel the purpose-limitation duty.

> **DESIGN CONSEQUENCE**
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> Design consequence: the compelled store and the business data platforms are physically and administratively separate. The course's hybrid option — a dedicated store for compelled data with on-demand access to production for data held on other bases — is defensible only because the boundary between the two legal bases is explicit and enforced.

4.3 Accountability for quality and errors

If the operator thinks the data belongs to the Home Office, then a wrong disclosure is the Home Office's problem. In law it is the operator's: a wrongful disclosure is a personal-data breach by the controller (ICO), a reportable error under the Code of Practice (IPCO), and potentially the subject of a Tribunal complaint. That is why the CDA course insists on quality controls, completeness statements, time-segmented resolution and an error taxonomy with a remediation path. None of that gets funded in an organisation that believes it is merely holding someone else's data.

4.4 Subject rights and the exemption problem

A customer may make a subject-access request. The retained store contains their personal data. The operator, as controller, must handle the request — and must apply the correct restriction: data protection law allows subject rights to be restricted where necessary for the prevention and detection of crime and for national security, and the IPA's own confidentiality provisions prevent the operator from revealing whether a

disclosure has been made. Getting this wrong in either direction (disclosing to the subject that they were the subject of a request, or refusing a request about ordinary account data by over-applying the exemption) is a regulatory failure. The 'processor' self-view leads operators to believe they can simply refer the request elsewhere; they cannot.

> **DESIGN CONSEQUENCE**
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> Design consequence: the subject-rights process needs a defined route for retained data — who answers, which exemption applies, how the answer is worded so that neither the existence nor the absence of a disclosure is revealed — and the disclosure audit must be queryable by subject without itself constituting a disclosure.

4.5 Security standard: whose standard?

The IPA requires retained data to be kept to the same standard as the operator's own business data. Ofcom's security framework under the TSA 2021 imposes duties on the whole network, including the management and data environments. The ICO expects appropriate technical and organisational measures for a controller holding sensitive data at scale. Three regulators, three standards, one estate. The 'pipe' view produces a retained store run by the lawful-intercept team to lawful-intercept norms, disconnected from the enterprise security governance that Ofcom and the ICO will actually assess.

> **DESIGN CONSEQUENCE**
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> Design consequence: the retention and disclosure estate sits inside the operator's enterprise security governance — risk register, TSA asset inventory, incident process — not beside it. Compartmentation (the course's Module 10) is about who may act inside the estate, not about exempting it from oversight.

4.6 Breach notification: which door?

A security incident affecting the retained store may be notifiable to the ICO (personal-data breach, 72 hours), to Ofcom (TSA security compromise), and to IPCO (an error or a failure of the retention obligations), with different thresholds, timescales and content. An operator without a settled view of its own role will discover during the incident that nobody knows which notifications are required. The controller framing resolves it: all three may be engaged, and the incident process must say so in advance.

4.7 Cost, value and the business case

A controller normally bears cost because it extracts value. The retention-notice controller bears cost and extracts none; cost-recovery contributions under the IPA offset part of it but do not change the accountability. Programmes therefore tend to be funded as the minimum the notice can be read to require, and the quality, assurance and governance layers — the ones the regulators actually inspect — are the first casualties. The 'pipe' instinct and the budget instinct reinforce each other.

4.8 Change: whose change is it?

Notification notices (s.258A) require the operator to notify the Secretary of State of changes that would negatively affect capability. The operator's network and product roadmap is its own; the capability is compelled. That produces a standing conflict between the commercial change process and a regulatory obligation on that same process, and it is sharpest when the change is a billing or tariff change that silently alters a retained field. An operator that believes the retained data is someone else's does not instinctively put the capability-impact question on its own change record.

5. Reconciling the positions

The reconciliation is not a compromise between the operator's view and the regulators' view; it is a correct statement of the position that the operator can live with. A form of words a design authority can adopt:

> *The retained communications data store is a separate processing activity for which [operator] is the controller. Its sole purpose is to meet the obligations of the retention notice and to disclose under lawful authority; it has no business purpose and no business access. [Operator] determines its means and is accountable for its security, quality, integrity, deletion and the lawfulness of every disclosure. The acquiring authority becomes a separate controller of disclosed data on receipt. Vendors supporting the store are processors of [operator].*

That statement, agreed and recorded, has consequences the design can be checked against:

Position	What it requires in the design
Separate processing activity	Its own DPIA, its own entry in the record of processing, its own retention schedule, its own risk register entry
Controller accountability	Named data owner at executive level (an accountability role, not a property claim); quality and error management funded as compliance, not as optional assurance
Sole purpose, no business access	Physical and administrative separation from business data platforms; purpose enforced by access control, not policy; audit evidence that no business query has ever run
Determines means	The architecture, vendor and security decisions are the operator's and are recorded as such; the notice is translated through a governed interpretation, not read literally
Authority as separate controller on receipt	The disclosure interface is a controller-to-controller transfer with provenance and caveats; the operator's accountability ends at release but its record of what was released does not
Vendors as processors	Article 28 terms; production access on break-glass terms; portability and schema ownership written into the contract

6. Talking points

- 'Owner' is not a regulatory category. The question is controller or processor, and for the retained store the operator is the controller — one whose purpose was chosen for it.
- A retention notice compels retention; it does not transfer accountability. The Home Office has never seen the data and does not direct its handling; it cannot be its controller.
- The operator is a controller with its hands tied: full accountability, no freedom of purpose, no business value. That is uncomfortable, and it is the law.
- Five bodies look at the same store — Home Office, IPCO, ICO, Ofcom, the Tribunal — and none of them will accept 'we are just the pipe'.
- The only place 'processor' is the right word is the vendor contract. An operator unsure of its own role has usually also left its vendors on the wrong terms.
- The 'pipe' instinct shows up in the design as under-funded quality, business access to compelled data, no subject-rights route, and a change process that does not ask the capability-impact question.
- Settle controllership with a recorded legal opinion before the architecture is fixed; it is the cheapest decision in the programme and it unlocks every other one.
- Minimisation and retention are not in conflict once the retained schema is bound exactly to the notice; the conflict only appears when the notice is read as permission to keep everything.

> **CAVEAT**
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> Every statement in this paper about controllership, exemptions, notification routes and the interaction of the IPA with data protection law should be checked against the current legislation, the current Codes of Practice and the operator's own legal advice before it becomes a design constraint.